

**SUBSTITUTE FOR
HOUSE BILL NO. 4361**

A bill to amend 1939 PA 3, entitled

"An act to provide for the regulation and control of public and certain private utilities and other services affected with a public interest within this state; to provide for alternative energy suppliers and certain providers of electric vehicle charging services; to provide for licensing; to include municipally owned utilities and other providers of energy under certain provisions of this act; to create a public service commission and to prescribe and define its powers and duties; to abolish the Michigan public utilities commission and to confer the powers and duties vested by law on the public service commission; to provide for the powers and duties of certain state governmental officers and entities; to provide for the continuance, transfer, and completion of certain matters and proceedings; to abolish automatic adjustment clauses; to prohibit certain rate increases without notice and hearing; to qualify residential energy conservation programs permitted under state law for certain federal exemption; to create a fund; to encourage the utilization of resource recovery facilities; to prohibit certain acts and practices of providers of energy; to



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allow for the securitization of stranded costs; to reduce rates; to provide for appeals; to provide appropriations; to declare the effect and purpose of this act; to prescribe remedies and penalties; and to repeal acts and parts of acts,"

by amending section 10p (MCL 460.10p), as amended by 2016 PA 341.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 10p. (1) Each electric utility operating in this state
2 shall establish an industry worker transition program that, in
3 consultation with employees or applicable collective bargaining
4 representatives, provides skills upgrades, apprenticeship and
5 training programs, voluntary separation packages consistent with
6 reasonable business practices, and job banks to coordinate and
7 assist placement of employees into comparable employment at no less
8 than the wage rates and substantially equivalent fringe benefits
9 received before the transition.

10 (2) The costs resulting from subsection (1) include audited
11 and verified employee-related restructuring costs that are incurred
12 as a result of 2000 PA 141 or as a result of prior commission
13 restructuring orders, including employee severance costs, employee
14 retraining programs, early retirement programs, outplacement
15 programs, and similar costs and programs, that have been approved
16 and found to be prudently incurred by the commission.

17 (3) In the event of a sale, purchase, or any other transfer of
18 ownership of 1 or more Michigan divisions or business units, or
19 generating stations or generating units, of an electric utility, to
20 either a third party or a utility subsidiary, the electric
21 utility's contract and agreements with the acquiring entity or
22 persons ~~shall~~**must** require all of the following for a period of at
23 least 30 months:

24 (a) That the acquiring entity or persons hire a sufficient



1 number of nonsupervisory employees to safely and reliably operate
2 and maintain the station, division, or unit by making offers of
3 employment to the nonsupervisory workforce of the electric
4 utility's division, business unit, generating station, or
5 generating unit.

6 (b) That the acquiring entity or persons not employ
7 nonsupervisory employees from outside the electric utility's
8 workforce unless offers of employment have been made to all
9 qualified nonsupervisory employees of the acquired business unit or
10 facility.

11 (c) That the acquiring entity or persons have a dispute
12 resolution mechanism culminating in a final and binding decision by
13 a neutral third party for resolving employee complaints or disputes
14 over wages, fringe benefits, and working conditions.

15 (d) That the acquiring entity or persons offer employment at
16 no less than the wage rates and substantially equivalent fringe
17 benefits and terms and conditions of employment that are in effect
18 at the time of transfer of ownership of the division, business
19 unit, generating station, or generating unit. The wage rates and
20 substantially equivalent fringe benefits and terms and conditions
21 of employment ~~shall~~**must** continue for at least 30 months ~~from~~**after**
22 the time of the transfer of ownership unless the employees, or
23 where applicable collective bargaining representative, and the new
24 employer mutually agree to different terms and conditions of
25 employment within that 30-month period.

26 (4) The electric utility shall offer a transition plan to
27 those employees who are not offered jobs by the entity because the
28 entity has a need for fewer workers. If there is litigation
29 concerning the sale, or other transfer of ownership of the electric



1 utility's divisions, business units, generating stations, or
2 generating units, the 30-month period under subsection (3) begins
3 on the date the acquiring entity or persons take control or
4 management of the divisions, business units, generating stations,
5 or generating units of the electric utility.

6 (5) The commission shall adopt generally applicable service
7 quality and reliability standards for the transmission, generation,
8 and distribution systems of electric utilities and other entities
9 subject to its jurisdiction, including, but not limited to,
10 standards for service outages, distribution facility upgrades,
11 repairs and maintenance, telephone service, billing service,
12 operational reliability, and public and worker safety. In setting
13 service quality and reliability standards, the commission shall
14 consider safety, costs, local geography and weather, applicable
15 codes, national electric industry practices, sound engineering
16 judgment, and experience. The commission shall also include
17 provisions to upgrade the service quality of distribution circuits
18 that historically have experienced significantly below-average
19 performance in relationship to similar distribution circuits.

20 (6) Annually, each jurisdictional utility or entity shall file
21 its report with the commission detailing actions to be taken to
22 comply with the service quality and reliability standards during
23 the next calendar year and its performance in relation to the
24 service quality and reliability standards during the prior calendar
25 year. The annual reports ~~shall~~**must** contain that data as required
26 by the commission, including the estimated cost of achieving
27 improvements in the jurisdictional utility's or entity's
28 performance with respect to the service quality and reliability
29 standards.



1 (7) The commission shall analyze the data to determine whether
2 the jurisdictional entities are properly operating and maintaining
3 ~~their~~ systems and take corrective action if needed.

4 (8) By December 31, 2009, the commission shall review its
5 existing rules under this section and amend the rules, if needed,
6 under the administrative procedures act of 1969, 1969 PA 306, MCL
7 24.201 to 24.328, to implement performance standards for generation
8 facilities and for distribution facilities to protect end-use
9 customers from power quality disturbances.

10 (9) Any standards or rules developed under this section ~~shall~~
11 **must** be designed to do the following, as applicable:

12 (a) Establish different requirements for each customer class,
13 whenever those different requirements are appropriate to carry out
14 the provisions of this section, and to reflect different load and
15 service characteristics of each customer class.

16 (b) Consider the availability and associated cost of necessary
17 equipment and labor required to maintain or upgrade distribution
18 and generating facilities.

19 (c) Ensure that the most cost-effective means of addressing
20 power quality disturbances are promoted for each utility, including
21 consideration of the installation of equipment or adoption of
22 operating practices at the end-user's location.

23 (d) Take into account the extent to which the benefits
24 associated with achieving a specified standard or improvement are
25 offset by the incremental capital, fuel, and operation and
26 maintenance expenses associated with meeting the specified standard
27 or improvement.

28 (e) Carefully consider the time frame for achieving a
29 specified standard, taking into account the time required to



1 implement needed investments or modify operating practices.

2 **(10) Notwithstanding any law, administrative rule, or**
3 **commission order, an electric utility may do any of the following:**

4 **(a) Trim trees from the ground to the sky to save costs or**
5 **improve transmission or distribution line reliability.**

6 **(b) Maintain all vegetation for up to 15 feet from the**
7 **outermost portion of the wire that conducts electricity or whatever**
8 **distance is considered necessary to improve reliability.**

9 **(11) ~~(10)~~**The commission shall also create benchmarks for
10 individual jurisdictional entities within their rate-making process
11 in order to accomplish the goals of this section to alleviate end-
12 use customer power quality disturbances and promote power plant
13 generating cost efficiency.

14 **(12) ~~(11)~~**The commission shall establish a method for
15 gathering data from the industrial customer class to assist in
16 monitoring power quality and reliability standards related to
17 service characteristics of the industrial customer class.

18 **(13) ~~(12)~~**The commission may levy financial incentives and
19 penalties ~~upon~~**on** any jurisdictional entity ~~which~~**that** exceeds or
20 fails to meet the service quality and reliability standards.

21 **(14) ~~(13)~~**As used in this section, "jurisdictional utility" or
22 "jurisdictional entity" means a jurisdictional regulated utility as
23 that term is defined in section 6q.

